

US Bond Market **Weekly Update**

10yr Treasury 5.24% ▼ 0 bps MTD	2yr Treasury 4.78% ▼ 0 bps MTD	IG OAS 86 bps ▼ 0 bps MTD	HY OAS 324 bps ▼ 0 bps MTD
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WORD ON THE DESK

The opening days of Q4 2026 delivered a stark reminder that the fixed income market remains hostage to the interplay of resilient U.S. growth data, elevated energy prices, and geopolitical tension — a combination that has kept long-end yields pinned near multi-decade highs. Risk assets held up reasonably well on the surface, with credit spreads broadly stable month-to-date, but the violence in rates markets this week underscores how fragile duration positioning remains at these levels. For institutional portfolios, the near-term challenge is balancing the compelling absolute yield opportunity in investment-grade credit against the real possibility of further term premium expansion in Treasuries. Looking ahead, the trajectory of oil prices, any escalation or de-escalation in Middle Eastern shipping lanes, and incoming labor and inflation prints will be the key inputs to watch as the Fed assesses whether additional tightening is warranted.

MARKET COMMENTARY

01 Treasury yields surged to multi-decade highs mid-week before partially recovering, with the 10-year reaching 5.22% and the 30-year touching 5.53% intraday on September 26 before settling at 5.24% and 5.61%, respectively, by the October 1 close [DATA: as of 2026-10-01]. The move was catalyzed by stronger-than-expected U.S. PMI data, a poorly received Treasury auction, and persistent energy-driven inflation concerns — leaving rates meaningfully higher year-over-year across the curve (10-year +114 bps, 30-year +92 bps vs. a year ago).

→ The 2-year yield closed at 4.78% [DATA: as of 2026-10-01], unchanged from the October 1 month-start level, suggesting front-end pricing has largely converged to terminal rate expectations while the long end continues to reprice for term premium and fiscal risk.

→ Late-week reports of a phased U.S. ceasefire proposal in the Middle East provided some relief to the long end, contributing to the partial yield pullback from intraday extremes — though gains were modest and the market remains on edge.

02 The Treasury curve steepened meaningfully on a week-over-week basis as long-end yields bore the brunt of the selloff. The 2s10s spread sits at +46 bps (4.78% vs. 5.24%) and the 2s30s at +83 bps (4.78% vs. 5.61%) [DATA: as of 2026-10-01], reflecting a curve that has moved from deep inversion to a modestly positive slope as the market reprices the duration risk premium rather than near-term Fed action.

→ The 5-year point at 5.01% and the 20-year at 5.64% [DATA: as of 2026-10-01] highlight notable concavity in the belly-to-long-end segment — a sign that real money and liability-driven investors have not yet stepped in aggressively to anchor the 20-30 year range.

→ If energy prices and PMI momentum remain elevated, further bear steepening toward a 2s10s spread of 60-75 bps is plausible in the near term, creating headwinds for long-duration mandates.

03 September CPI and inflation expectations remain front and center as the proximate driver of this week's rate volatility. Brent crude oscillated between \$100 and \$107 per barrel amid Strait of Hormuz disruption concerns,

injecting a meaningful upside risk to near-term headline inflation readings and complicating the Fed's ability to signal a definitive pause in its hiking cycle.

→ Energy price pass-through to core goods and transportation services is a key risk to watch in the upcoming CPI print; a sustained oil price above \$100/bbl would likely reignite stagflationary concerns that were broadly shelved earlier in the year.

→ Strong PMI data released mid-week reinforced the narrative of a resilient U.S. economy, reducing the probability of a near-term growth scare that might otherwise force the Fed's hand toward easing.

04 Investment-grade corporate spreads were essentially unchanged month-to-date at 86 bps OAS [DATA: as of 2026-10-01], demonstrating remarkable resilience in the face of significant rates volatility, though total returns registered flat (0.0%) as duration headwinds from the Treasury selloff offset any carry benefit [DATA: as of 2026-10-01]. The IG market's ability to absorb a heavy primary calendar against this backdrop is a constructive technical signal for credit fundamentals.

→ Absolute all-in yields in IG corporates — with the 5-year benchmark at 5.01% plus approximately 86 bps of spread — now offer some of the most attractive entry points for buy-and-hold institutional investors in over a decade, potentially drawing pension and insurance demand on any spread widening.

→ Issuance demand has been a critical support for spread stability; any meaningful concession in the primary market bears watching as a leading indicator of broader credit sentiment.

05 High-yield spreads closed at 324 bps OAS [DATA: as of 2026-10-01], also flat month-to-date with total returns of 0.0% [DATA: as of 2026-10-01], suggesting that risk appetite in credit has not meaningfully deteriorated despite the sharp move higher in risk-free rates. The stability of HY spreads near the 300s reflects a market that continues to view credit fundamentals as solid, even as the rate environment tightens financial conditions at the margin.

→ At 324 bps over Treasuries, HY all-in yields are now well above 8%, which historically has attracted crossover buyers and reduced net new supply appetite among issuers — a technical dynamic that can be supportive of spread stability in a higher-for-longer rate environment.

→ However, the combination of \$100+ oil, higher funding costs, and geopolitical uncertainty warrants close monitoring of leveraged issuers in energy-dependent supply chains and transportation, where cost pressures may begin to stress coverage ratios.

06 Agency MBS and broader securitized sectors faced a challenging week as the spike in long-end yields and elevated rate volatility pressured prepayment-sensitive instruments and widened the effective duration of most mortgage pools. While specific OAS or return data for Agency MBS are not available in this week's data payload, the rates environment — characterized by a 10-year at 5.24% and significant intraday yield swings — is consistent with extension risk materializing and option-adjusted valuations compressing.

→ With the 30-year mortgage rate likely tracking well above 7.5% in this environment, prepayment speeds are expected to remain depressed, reducing the near-term reinvestment risk for MBS holders but also limiting price appreciation potential on any rally.

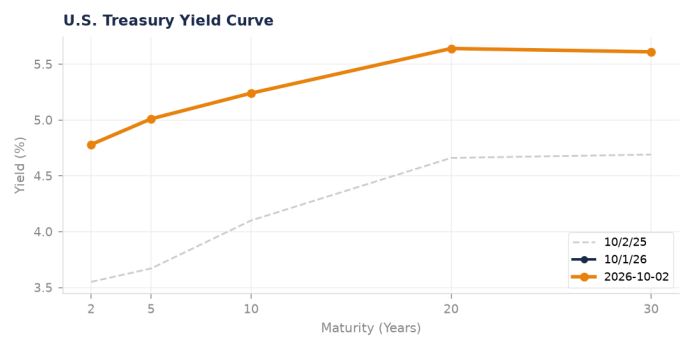
→ Relative to IG corporates at 86 bps OAS, MBS valuations will need to offer commensurate compensation for convexity risk to attract incremental institutional demand — a dynamic that could be tested if rate volatility remains elevated through Q4.

07 Fed communications this week were measured in tone, with Vice Chair Philip Jefferson speaking on the U.S. economy and monetary policy on September 29, Vice Chair for Supervision Michelle Bowman addressing modernization of financial regulation on October 1, and Governor Christopher Waller also delivering remarks on October 1. All three officials were characterized as neutral in stance, offering no explicit signal of an imminent rate hike or cut, even as market events pushed long-end yields to levels not seen in over two decades.

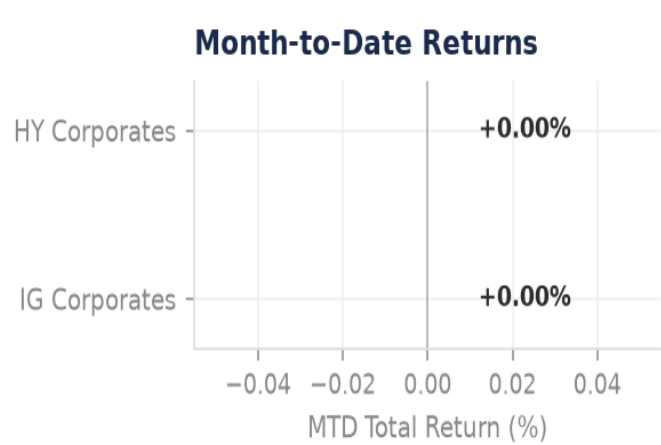
→ Jefferson's focus on the broader economy suggests the Fed is in a monitoring posture rather than a reactive one, consistent with a committee that views current policy as restrictive but wants to assess incoming data before committing to further action.

→ The absence of hawkish escalation from Bowman and Waller — despite the strong PMI data and energy-driven inflation risks — may have contributed to the partial late-week recovery in Treasuries, as markets interpreted the silence as a soft signal that additional hikes are not imminent.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.78	5.01	5.24	5.64	5.61
MTD (bps)	0	0	0	0	0



Sector	OAS (bps)	MTD Chg
IG Corporate	86	0
HY Corporate	324	0

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.78%	2026-10-01	FRED:DGS2
5yr Treasury	5.01%	2026-10-01	FRED:DGS5
10yr Treasury	5.24%	2026-10-01	FRED:DGS10
20yr Treasury	5.64%	2026-10-01	FRED:DGS20
30yr Treasury	5.61%	2026-10-01	FRED:DGS30
IG OAS	86.0 bps	2026-10-01	FRED:BAMLC0A0CM
HY OAS	324.0 bps	2026-10-01	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	+0.00%	2026-10-01	FRED:BAMLCC0A0CMTRIV
HY Corporates MTD Return	+0.00%	2026-10-01	FRED:BAMLHYH0A0HYM2TRIV